an Indian capitalism that was dominated by a narrow set of ethnicities. This may have gone on to create significant social problems, analogous to what was seen in Indonesia. It can be argued that the early decades with public sector companies helped diffuse entrepreneurial and managerial skills across a broad-based elite.

This is not a defence of public sector companies more broadly. Once the early private economy came together, it was important for the government to shift from supplanting the private sector to regulating the private sector, and this was not done. When public sector companies and their parent departments set up barriers against imports and against the entry of private firms, this was one of the most harmful things for the economy. But for our understanding of where we are, it is important to know the logic of where we came from.

Summing up

A good society is one in which individuals plan and live on their own terms, in a state of confidence over long time horizons. The purpose of public policy is to create the enabling conditions for such a life. As an example, the right way to structure monetary policy is a formal inflation-targeting system, as it rules out inflation surprises, and makes personal financial planning possible over multi-decade horizons.

The best framework of public policy is one in which the state impinges upon the lives of individuals as little as possible. This is not a defence of the status quo. Society can and should evolve, gradually, through the thoughts and actions of the people. The state should not engage in social engineering, i.e., it should take no leadership role in the evolution of society.

Non-intrusiveness, stability and order is fostered by better communication. The government must say what it will do and then do what it just said. There should be no surprises.

Within the structures of government, however, it is permissible to undertake large-scale reorganizations. We do not need to bring stability to